Procurement Standard

Vendor Selection Standard for Major IT Projects

COLORADO
Governor's Office of Information Technology
Serving people serving Colorado

Standard Owner: Financial Services	Document ID:	OIT-FinSvc-100
	Effective Date:	Nov. 30, 2018
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1. PURPOSE

The purpose of this document is to communicate the standards that the Governor's Office of Information Technology (OIT) has developed for the selection of any vendor for any Major IT Project classified as such by OIT, in accordance with Colorado House Bill 18-421 and as codified in relevant part in §§ 24-37.5-102 and 105, C.R.S.

2. SCOPE

This standard applies to all state agencies except the Department of Education, which has been exempted through June 2019. This Standard shall be used by employees of OIT, agencies supported by OIT, and vendors contracted by OIT or its stakeholders, as a means to enforce technology procurement standardization and assist in making the usage, support, and acquisition of technologies more consistent and efficient.

3. REFERENCES

A. Colorado Procurement Code, § 24-101-101, *et seq.*, C.R.S.
B. §§ 24-37.5-101, *et seq.*, C.R.S.
C. § 2-3-209, C.R.S.
D. § 24-30-202, C.R.S.
E. OIT Policy 200-1, Project Lifecycle Methodology and Governance

4. DEFINITIONS

A. Contractor: A vendor selected for award of a contract as a result of a solicitation. "Contractor" has the same meaning as defined in § 24-101-301, C.R.S.

B. Independent Verification and Validation (IV&V): The process of ensuring that a product, service, or system meets required specifications and that it fulfills its intended purpose. The review of such product, service, or system is typically performed by an independent third party. "Independent verification and validation" has the same meaning as defined in § 24-37.5-102, C.R.S.

C. Ineligible Vendor: Any vendor that does not meet the criteria set out in 6.B.

D. Information Technology (IT): Computer-based equipment and related services designed for the storage, manipulation, and retrieval of data by electronic or mechanical means, or both, and includes, without limitation, any of the following:

i. Central processing units (CPU), servers for all functions, data center hosting, network equipment, including routers, switches, and security devices, personal computers, laptop computers, handheld processors, and all related peripheral devices configurable to such equipment, such as data storage devices, document scanners,

data entry equipment, specialized end-user terminal equipment, and equipment and systems supporting communications and public safety infrastructure;

ii. Communications transport, including but not limited to telecommunications, VoIP, public safety communications network, broadband, unified communications, video conferencing, collaboration services, and Contact Center applications

iii. All related services, including feasibility studies, systems design, software development, system testing, external off-site storage, temporary IT staffing, consulting involving an IT component, and network services, whether provided by state employees or by others;

iv. The systems, programs, routines, and processes used to employ and control the capabilities of data processing, including but not limited to operating systems, compilers, assemblers, utilities, library routines, maintenance routines, applications, application testing capabilities, software, data integration, handheld device operating systems, and computer networking programs;

v. The application of electronic information processing hardware, software, or telecommunications to support state government business processes;

vi. Cloud based computing services including but not limited to Software as a Service (SaaS), Infrastructure as a Service (IaaS), Platform as a Service (PaaS), Desktop as a Service (DaaS), Managed Software as a Service (MSaaS), IT Management as a Service (ITMaaS), and Mobile Backend as a Service (MBaaS), Anything as a Service (XaaS); or

vii. Other emerging technologies that may require knowledge and expertise in IT goods or services. These may include but are not limited to Internet of Things, artificial intelligence, conversational systems, and data science.

E. Major Information Technology Project: A project of state government, excluding the Department of Education through June 30, 2019, that has a significant Information Technology component, including, without limitation, the replacement of an existing Information Technology system. OIT classifies IT projects as Major IT Projects based on a comprehensive risk assessment.

F. Project: A body of work that has a specified unique scope, funding, and a limited duration.

G. Significant Information Technology Component: Any component of a project that has the planning, design, procurement, support, or management of Information Technology as a necessary input to achieve the stated outcomes of the project.

H. State Agency or **Program** or **Business Owner:** Any of these terms has the same meaning as "Using Agency" as defined in § 24-101-301, C.R.S. A state agency is limited to the

governmental units identified in C.R.S. §24-37.5-102(4).

I. **Vendor:** A person or entity that submits a bid in response to a solicitation. "Vendor" has the same meaning as "Offeror" as defined in § 24-101-301, C.R.S.

J. **Vendor Selection:** The process of identification of need, solicitation, evaluation, and award under the Procurement Code and Procurement Rules.

K. **Vendor Selection Committee:** A committee formed to evaluate bids or proposals submitted in response to a solicitation and to make a recommendation of one or more vendors for award of a contract.

5. ROLES & RESPONSIBILITIES

A. OIT - Procurement and Vendor Services:

i. Owner of Standard
ii. Engage stakeholders and subject matter experts to determine standard
iii. Update document standards and version number
iv. Present to ELT for approval and adoption
v. Conduct solicitations as required for any Major IT Project
vi. Organize and manage any Vendor Selection Committee
vii. Draft, negotiate, and approve any contract with a vendor for a Major IT Project
viii. Consult Subject Matter Experts as needed regarding the solicitation, contract, or performance of any Major IT Project

B. OIT - Project Governance:

i. Manage Major IT Projects through the project lifecycle after a vendor has been selected

C. Vendor Selection Committee:

i. Review and evaluate the proposals submitted for any solicitation
ii. Consider resources required to be provided by the vendor and by the state, and the feasibility and costs of any state resources
iii. Work in good faith to agree on a unanimous recommendation for one or more vendors to be awarded
iv. Draft a written memorandum that clearly articulates the justification for the recommendation for submission to the State CIO for final approval
v. Represent the justifications for non-unanimous majority and minority recommendations, if any, in separate written memoranda to be presented to the State CIO for consideration

D. OIT - State Chief Information Officer:

i. Review recommendation(s) submitted by the Vendor Selection Committee and provide

a final vendor selection

ii. Resolve differences of opinion between majority and minority recommendations from the Vendor Selection Committee

E. State Agency:

i. Initiate project governance for any IT Project and pursue determination of whether any IT project is a Major IT Project as further described in OIT Policy 200-01, Project Lifecycle Methodology and Governance

ii. Provide a representative with appropriate knowledge and experience to participate meaningfully and in good faith in the Vendor Selection Committee

iii. Promptly inform OIT Procurement and Vendor Services regarding any performance or contract compliance issues with a Contractor on a Major IT Project and collaborate with OIT on resolving such issues

F. Contractor:

i. Perform the work on the Major IT Project in accordance with the terms of any RFP, contract, statement of work, or other project document and follow all applicable state policies and procedures

ii. Promptly inform OIT Procurement and Vendor Services regarding any concerns or issues that may impact the Major IT Project and collaborate with OIT on resolving such issues

iii. Propose new technologies when appropriate for evaluation by the state and conduct cost-benefit analysis for prospective new technologies for service delivery

G. Additional Assignments:

i. All OIT staff are responsible to be aware of the existence of this (and all) standard(s) and its purposes of authority and governance in support of OIT's statutorily mandated mission in service of Colorado state government affairs.

6. STANDARDS

A. Classification of Project as Major IT Project:

i. For the purposes of determining whether an IT Project is a Major IT Project, OIT shall employ a comprehensive risk assessment as described in OIT Policy 200-01, Project Lifecycle Methodology and Governance.

B. Identification of Eligible Vendors:

i. An eligible vendor for a Major IT Project will meet the following criteria, as determined by OIT after reviewing evidence provided in an RFP response or otherwise provided by the vendor:

a. Financial viability as evidenced by recent financial statements

b. Adequate resources available, which shall include without limitation:

1. Identification of key personnel

2. Quantified account of anticipated resources and duration of commitment
3. Identification of back-up and/or contingency resources
4. Identification of personnel resources that will be dedicated full-time to the project
5. Identification of any state contracts or projects currently employing the same personnel or technological resources

c. Lack of negative reference from any State of Colorado work performed in the last two years
d. Agreement to comply with all applicable state and OIT policies and procedures, including without limitation:
    1. Contractual reporting requirements
    2. Project Lifecycle Methodology and Governance
    3. Colorado Information Security Policies (CISPs)
    4. OIT Enterprise and Technical Standards
    5. OIT Accessibility Standards
    6. IV&V review
    7. OIT Background Check Policy
    8. Reasonable security access to vendor staff and resources
    9. Employment of existing enterprise tools and solutions prior to proposing alternative solutions

C. Selection of Vendors for Major IT Projects:

i. If a Major IT Project will be solicited, the solicitation must include language to provide for new technology both during the solicitation and proposal period and through the lifecycle of the contract.

ii. A Vendor Selection Committee for a Major IT Project will be composed of, at minimum:
    a. A representative of the state agency/program/business owner
    b. A Technical Solution Architect
    c. A representative of the Office of Information Security
    d. An IT Director partnered and aligned with the state agency/program/business owner
    e. A representative of the IV&V vendor, if any

iii. The selection of vendor services will invariably align to OIT's objective to provide highly efficient, secure, and scalable IT services which support the various missions of Executive Branch agencies. For that purpose, the following Architecture Principles will be used in evaluating the ability of any vendor services or products to satisfy the requirements of the project:
    a. **Shared Services Provide Enterprise Value:** Shared services provide maximum

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long-term value to the enterprise as a whole, while optimizing Total Cost of Ownership (TCO) and risks overall for individual stakeholders and clients.

b. **Simplicity:** Solutions and designs should aim to reduce the operational complexity of the enterprise based primarily on functional, scalability, and security/compliance considerations. Solutions and designs which are dictated by artificial ownership constructs or convoluted billing/funding structures will be rejected.
c. **Fit for Purpose:** Architecture and designs should provide capabilities which maximize the opportunity for reuse, scalability, and standardization of services, without over-engineering them.
d. **Data Governance and Compliance:** The architecture should seek to maximize the operational capability to satisfy security compliance expectations and facilitate expedient data governance practices.
e. **Innovation and Customer Service:** Solutions should provide the best possible customer outcomes and furnish the flexibility to capitalize on innovation opportunities.
f. **Sustainability and Support:** Vendor and solutions should provide ongoing support model and pricing structure to optimize TCO, mitigate risks to the state, and ensure vendor partnership with OIT and long-term ownership of the solution.

iv. The decision of the State CIO to select one or more vendors for award shall be final, subject to the provisions of §§ 24-109-101.1, C.R.S., et seq.
v. OIT will be the party representing the state on any contract for a Major IT Project.

7. VARIANCES & EXCEPTION PROCESS

Any request to procure or deploy technology that is a variance to the standards and provisions stated within this document must be requested or, and approved by, the "Owner of Standard" listed in section 5 of this document ("Roles & Responsibilities").

Requests may be acquired by completing the "EXCEPTION REQUEST to Technical Standard" form and including the completed form (including all signatures) along with other documentation required as part of standard procedures when executing a technology procurement or service deployment.

8. REVISION HISTORY

This standard is to be reviewed every 12 months by the document owner and remains in effect until rescinded.

REVISION DATE	REVISED BY	BRIEF DESCRIPTION OF CHANGES	APPROVED BY	NEXT REVIEW DATE

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3/14/2019	Thirza Kennedy	Removed section 5.B.i as it was originally added in error and removed section 9. Appendix as it was blank.	Brenda Berlin, Deputy CIO & CFO Laura Calder, Deputy CFO	3/14/2020